

THE WAY

EIN, Banking, Federal Exemption & Compliance Execution Packet

Post-formation tax identification, account opening, Form 1023 readiness, public-support planning
and first-year compliance

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Working legal/operational package for UNDECIDED - not a substitute for attorney or tax-professional review

1. Order of operations

1. File and obtain acceptance of the Tennessee nonprofit charter.
2. Complete incorporator/initial Board organization and officer appointments.
3. Apply for the EIN only after legal formation. The IRS expressly warns exempt organizations not to apply before legal formation.
4. Open bank/accounting infrastructure under Board authority and the EIN; do not use personal accounts for organizational funds.
5. Finalize three-year financial projections and Form 1023 activity narratives using actual planned operations.
6. Complete Board review of compensation, conflicts, related-party arrangements, intellectual property, charitable-assistance methods and public-charity classification request.
7. Electronically file the full Form 1023 through Pay.gov with the then-current user fee.
8. Operate under applicable filing, disclosure, charitable-solicitation, payroll and state tax rules while the determination is pending and afterward.

2. EIN application worksheet

The IRS currently provides a free online EIN application and states that a legal entity should be formed with the state first. For tax-exempt organizations, the responsible party is generally the principal officer and must generally be a natural person with the required taxpayer identification number.

EIN field	Working entry
Legal name	[[LEGAL_NAME]], Inc. - exactly as filed with Tennessee
Trade/DBA name	[[PUBLIC_NAME if different; otherwise blank]]
Mailing address	[[MAILING_ADDRESS]]
Physical address	[[PHYSICAL/PRINCIPAL_ADDRESS]]
County/state	[[COUNTY]], Tennessee
Responsible party	[[PRINCIPAL_OFFICER - likely President]]
Entity type	Corporation / tax-exempt organization; select the IRS category that truthfully matches the legal entity and current operations.
Reason applying	Started a new organization / banking / tax administration as applicable.
Employees expected	[[GOOD-FAITH ESTIMATE]]
Closing month	December
Principal activity	Religious, charitable and educational activities.

Privacy: Do not place a Social Security number or other taxpayer identification number into shared governance drafts. Enter it only in the official IRS application when the responsible party submits the EIN request.

3. Bank-account opening packet

Typical bank requirements vary, but the organizational file should be prepared with the following materials. Confirm the chosen institution's current requirements before the appointment.

- Filed/accepted Tennessee charter
- EIN confirmation
- Bylaws

- Board banking resolution
- Officer/director identification as requested by bank
- Registered/principal address information
- Beneficial-owner/control-person certifications if the bank requests them under its customer-identification rules
- Initial deposit source documentation
- Signer and transaction-authority matrix

3.1 Model banking resolution

RESOLVED, that the Corporation is authorized to establish deposit, payment-processing, merchant and other financial accounts reasonably necessary for its exempt activities at institutions approved by the Board or its Finance Committee; provided that no account shall be titled in the name of an individual, organizational funds shall not be commingled with personal funds, and authority shall be limited by the approved signer/transaction matrix.

Transaction	Proposed control
Routine operating payments	Prepared/entered by authorized staff or officer; approval thresholds documented.
Bank reconciliation	Performed/reviewed by a person who does not control the entire receipt-to-disbursement cycle where practicable.
Large or unusual payments	Second approval above Board-set threshold.
Executive/founder reimbursement	Independent approval and documented business purpose.
Related-party/vendor payments	Conflict disclosure, recusal, alternatives/comparability and disinterested approval.
Cash handling	Minimize cash; dual count/log where used; prompt deposit.
Restricted gifts	Separate accounting by restriction; no diversion to unrestricted use without lawful basis.

4. Form 1023 execution strategy

The current strategy remains a full Form 1023 rather than Form 1023-EZ. Form 1023 must be filed electronically through Pay.gov. The IRS requires an EIN before Form 1023 can be filed. The organizing document must contain the required section 501(c)(3) limitations, and the application requires detailed activity information sufficient to evaluate public rather than private operation.

Form 1023 workstream	Required evidence before submission
Organizational documents	Filed charter; adopted bylaws; amendments if any.
Officers/directors	Names, titles, addresses as required in the form; relationships and compensation information.
Narrative activities	What; who conducts; when; where; how it furthers exempt purposes; approximate time allocation; how funded.
Financial data	Good-faith current and projected revenue/expense information for the required periods.
Compensation	Duties, total compensation, comparability data, independent approval process, conflicts/recusals.
Insider transactions	Founder IP, leases, loans, reimbursements, vendors, property arrangements and any other private-party dealings.
Fundraising	Methods, online giving, grants, events, paid fundraisers if any, donor restrictions and acknowledgments.
Charitable assistance	Eligibility class, objective need/charitable criteria, records, independent approvals for insiders.

Form 1023 workstream	Required evidence before submission
Religious operations	Gatherings, formation, Houses of Prayer, ministry, publications, research, worship/prayer, pastoral care.
Public-charity classification	Initial request presently anticipated under §509(a)(1)/§170(b)(1)(A)(vi), subject to actual financial support plan; church classification deferred until actual facts support it.

4.1 Church classification decision rule

Do not claim church classification merely because the organization is religious. The IRS currently uses a facts-and-circumstances approach and generally expects a congregation or other religious membership group. The instructions expressly state that an organization without an established congregation may be a religious organization that does not yet qualify as a church and may request church classification later.

5. Public-support planning

The working initial public-charity route is §509(a)(1)/§170(b)(1)(A)(vi), which generally depends on broad public/government/public-charity support and the applicable public-support tests. The three-year projection workbook should be updated only with good-faith assumptions.

- Diversify contributions rather than relying on one founder or a few insiders where feasible.
- Record grants and contribution sources in a way that supports later public-support calculations.
- Avoid promising donor control over doctrine, employment, complaints, investigations or charitable beneficiaries.
- Monitor large contributors because public-support calculations can treat portions of unusually large private contributions differently.
- Review public-support status annually with tax counsel/accountant once actual revenue exists.

6. Contribution receipts and donor communications

Before public fundraising, establish written donor-receipt and restricted-gift procedures. The organization should never promise deductibility beyond what federal law supports, especially before an IRS determination letter is received if the organization is choosing to seek one.

Scenario	Communication/control
Ordinary donation	Provide accurate contemporaneous acknowledgment when required; state legal entity receiving gift.
Restricted donation	Accept only restrictions the organization can lawfully honor; record restriction in writing.
Goods/services provided	Use required quid-pro-quo disclosure rules where applicable.
Donation before IRS determination	Use careful wording about pending application/anticipated exemption; obtain professional review for public fundraising copy.
Gift to specific individual	Do not convert a donor-directed personal gift into a purported charitable contribution; charitable aid must remain under organizational discretion for a charitable class/purpose.

7. Tennessee charitable solicitation and annual corporate compliance

Tennessee currently identifies bona fide religious institutions as exempt from charitable-solicitation registration under its charitable solicitations framework, and it also identifies certain small organizations as exempt subject to annual exemption-request requirements. The organization should document the exemption actually relied upon and recheck requirements before public solicitation. Separately, Tennessee nonprofit corporations have annual-report obligations;

the Secretary of State currently lists a \$20 corporation annual-report fee and requires nonprofit annual reports to list a President and Secretary.

Compliance item	First-year action
Charitable solicitation	Determine and document whether bona fide religious-institution exemption applies; file any exemption request/documentation required by current Tennessee practice.
Tennessee annual report	Calendar due date after formation; maintain President, Secretary, directors, registered agent/office and required report information.
IRS annual return/notice	Determine Form 990/990-EZ/990-N obligation based on actual classification and receipts; church exceptions apply only if the organization actually qualifies.
Payroll	Before paying employees, establish payroll withholding/reporting and workers' compensation/employment compliance as applicable.
Sales/use/property tax	Federal §501(c)(3) status does not automatically establish every Tennessee state/local tax exemption; apply separately where needed.
Insurance	Evaluate general liability, directors/officers, abuse/molestation, property, workers' compensation, cyber and other coverage appropriate to actual programs.

8. Form 1023 pre-submission Board certification

1. [] The filed charter and adopted bylaws match the copies attached/submitted.
2. [] The activity narrative describes planned activities truthfully and specifically.
3. [] The three-year financials are good-faith projections and reconcile to planned activities.
4. [] All directors/officers and family/business relationships are disclosed as required.
5. [] Founder compensation is either zero or prospectively approved through an independent process supported by comparability data.
6. [] Founder intellectual property, leases, loans or other insider transactions are documented and reviewed.
7. [] Public-charity classification request matches the actual funding model.
8. [] No church classification is claimed unless current facts support it.
9. [] No representation in the application contradicts the Constitution of the Way, safeguarding policies or anti-coercion controls.
10. [] An authorized principal officer/director is prepared to digitally sign under penalties of perjury.

9. Current federal/state source notes

Source	Use	URL
IRS - Get an EIN	Form state legal entity before applying; EIN is free; responsible party requirements.	https://www.irs.gov/businesses/small-businesses-self-employed/get-an-employer-identification-number
IRS - EIN for exempt organization	Do not apply until legally formed.	https://www.irs.gov/charities-non-profits/obtaining-an-employer-identification-number-for-an-exempt-organization
IRS - Form 1023	Electronic filing; EIN required; §501(c)(3) organizational test and public charity classification.	https://www.irs.gov/instructions/i1023

Source	Use	URL
IRS - Form 1023 FAQ	Activity narrative asks what/who/when/where/purpose/time/funding.	https://www.irs.gov/charities-non-profits/frequently-asked-questions-about-form-1023
Tennessee Secretary of State	Current nonprofit forms/fees and annual-report guidance.	https://sos.tn.gov/businesses/forms-and-fees
Tennessee charitable solicitation FAQ	Religious-institution and other exemptions.	https://sos.tn.gov/charitable/charitable-organizations